Intelligent Investing

ET Prime Special Series: Multibagger or IBC - Part 72: Its profit finally came from the factory. The question is about durability



Synopsis

The largest single liability on this automobile supplier's balance sheet is not a bank loan. It is a lease, tied to an entity controlled by people connected to the promoter family, on the land and building the

For the first time in years, this old fastener maker had a genuinely good year that owed nothing to accounting luck. Its profit margin more than doubled, and unlike the year before, there was no one-off gain from selling a stake, no rescue item propping up the number. Returns on capital are back to where they were before a long, painful loss stretch, and the balance sheet is slowly being rebuil out of profits rather than fresh share sales.

It is a real operating recovery. This question is whether it is a durable one, given how much cash the business is now tying up just to run day to day.

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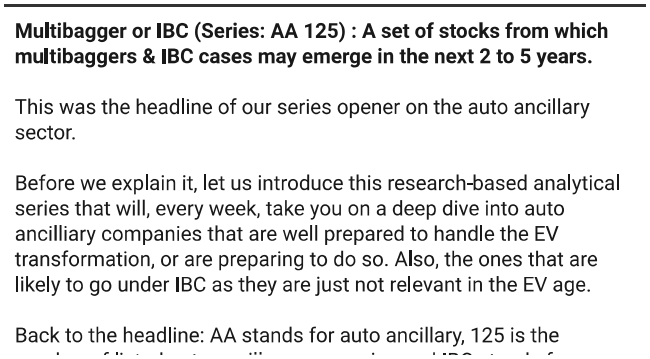
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But the same annual report bearing all this good news carries a line which investors might skip. The auditor states that the company holds no immovable property in its own name. The land and building it works from belong to a related party, on a 29-year lease whose agreement is still being executed.

The company we will be taking a deep dive into is **Simmonds Marshall Limited**.

But first... about our headline



Multibagger or IBC (Series: AA 125) : A set of stocks from which multibaggers & IBC cases may emerge in the next 2 to 5 years.

This was the headline of our series opener on the auto ancillary sector.

Before we explain it, let us introduce this research-based analytical series that will, every week, take you on a deep dive into auto ancilliary companies that are well prepared to handle the EV transformation, or are preparing to do so. Also, the ones that are likely to go under IBC as they are just not relevant in the EV age.

Back to the headline: AA stands for auto ancillary, 125 is the

*This series on **auto ancillary companies** works with the assumption that, from the whole set of auto ancillary companies, some multibagger stocks will emerge. And some companies in this space risk going bankrupt.*

For previous stories in this AA Series, kindly click on the respective links -**Intro**, **1**, **2**, **3**, **4**, **5**, **6**, **7**, **8**, **9**, **10**, **11**, **12**, **13**, **14**, **15**, **16**, **17**, **18**, **19**, **20**, **21**, **22**, **23**, **24**, **25**, **26**, **27**, **28**, **29**, **30**, **31**, **32**, **33**, **34**, **35**, **36**, **37**, **38**, **39**, **40**, **41**, **42**, **43**, **44**, **45**, **46**, **47**, **48**, **49**, **50**, **51**, **52**, **53**, **54**, **55**, **56**, **57**, **58**, **59**, **60**, **61**, **62**, **63**, **64**, **65**, **66**, **67**, **68**, **69**, **70**, **71**

Small Manufacturer, Long History

Simmonds Marshall Limited has been around since 1960. Based in Pune, the BSE-listed company is engaged in the manufacture of industrial fasteners and bolts, products that rarely attract attention on their own but sit inside much larger machines and assemblies.

The business is still concentrated around this core manufacturing capability. In its FY25 financial statements, Simmonds Marshall treats industrial

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fasteners, bolts, and related products as a single reportable business segment, rather than running multiple unrelated businesses.

Its registered office and factory are located at Chakan, Pune, one of India's established automotive manufacturing clusters. Its product portfolio today includes several types of specialised fastening components.



Source: Company's website

The portfolio shown by Simmonds Marshall includes Cleveloc and all-metal self-locking nuts, nylon-insert self-locking nuts, dome-cap nuts, slotted and castle nuts, hose-pipe fitting nuts, U-nuts, flange nuts, cage nuts, weld nuts and wheel nuts.

It also shows cold-forged sleeves, bushes, collars and spacers, along with bolts and studs. Let us understand some of these products in simple language.

Nylon-insert self-locking nuts contain a nylon rin that grips the bolt threads and creates friction, helping prevent the nut from loosening due to vibration. **All-metal self-locking nuts** provide a similar locking function without nylon. Their metal design grips the bolt threads and can suit higher-temperature applications.

Wheel nuts secure the wheel to the hub, while **flange nuts** have a wider base that spreads the load over a larger surface. **U-nuts, cage nuts, and weld**

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nuts provide a fixed threaded point for tightening a bolt and can make assembly easier where access is limited.

Slotted and castle nuts use a split or cotter pin to physically prevent the nut from turning loose. **Dome-cap nuts** cover the exposed end of a bolt, while **hose-pipe fitting nuts** help secure hose or pipe connections. **Sleeves, bushes, collars, and spacers** help support, locate or maintain spacing between parts, while **bolts and studs** are threaded fasteners used to join components.

In simple terms, these are small components used to **lock, join, hold or correctly position larger parts**.

The annual report clubs product sales under "fasteners, bolts etc." It does not map individual products to specific vehicle categories or specific customer programmes.

Most of these are technology-neutral fastening components and can also be used in **EVs**, since **electric vehicles** still require nuts, bolts, studs, sleeves, bushes, and spacers to join and secure assemblies.

Revenue Report

FY25 was a better year operationally. Revenue from operations increased from Rs. 192.04 crore to Rs. 207.60 crore, a growth of roughly 8%. Product sales were the main contributor at Rs. 202.79 crore, compared with Rs. 187.32 crore in the previous year.

Job-work processing charges contributed Rs. 1.12 crore. Export incentives contributed Rs. 0.45 crore and scrap sales contributed another Rs. 3.23 crore.

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Note 25 : Revenue from operations — Rs. in Lakhs

Particulars	For the year ended March 31, 2025	For the year ended March 31, 2024
Sale of products		
- Fasteners, bolts etc	20,278.71	18,731.73
Sale of services		
- Job work processing charges	112.06	109.50
Other operating revenue		
- Export incentive	45.41	45.68
- Scrap sales	323.41	317.24
	20,759.59	**19,204.15**
a) Revenue Breakup		
Revenue from contracts with customers - sale of products	20,278.71	18,731.73
Revenue from contracts with customers - sale of services	112.06	109.50
Other operating revenue	368.82	362.92
Total revenue from operations	**20,759.59**	**19,204.15**
From India	18,703.11	17,592.24
Outside India	2,056.48	1,611.91
Total revenue from operations	**20,759.59**	**19,204.15**
Timing of revenue recognition		
At a point in time	20,759.59	19,204.15
Total revenue from operations	**20,759.59**	**19,204.15**
b) Contract balances		
The following data provides information about contract assets and contract liabilities from contracts with customers, as applicable		
Contract assets - Receivables which are included in trade receivables (refer note 10)	3,050.08	2,263.98
Contract liabilities - Advance from customers (refer note 24)	35.38	24.22

Source: Annual Report FY25

The geographical numbers are also worth watching. Revenue from product customers outside India increased from Rs. 16.12 crore to Rs. 20.56 crore, a rise of about 28%. That represented roughly 11% of FY25 product revenue.

India still accounted for about Rs. 181.22 crore of external customer product revenue, making the domestic market the dominant contributor.

Profitability improved more sharply than revenue. Net profit margin increased from 1.93% in FY24 to 4.64% in FY25. Operating profit margin increased from 11.05% to 12.99%.

Details of significant changes in key financial ratios:

Sr. No	Key Ratios	2024-25	2023-24	Remarks
1	Debtors Turnover (times)	7.51	7.76	*
2	Inventory Turnover (times)	2.99	2.81	*
3	Debt Service Coverage (times)	1.80	1.35	@
4	Current Ratio (times)	1.32	1.19	*

5	Debt Equity Ratio (times)	1.07	1.33	*
6	Net Capital Turnover (times)	8.62	14.42	-
7	Net Profit Margin (%)	4.64	1.93	^
8	Return on Capital Employed (%)	19.50	15.02	@
9	Operating Profit Margin (%)	12.99	11.05	*

* There has been no significant change in key financial ratios

^ Increase in profit has resulted in improvement in the ratio

@ Increase in revenue and operations resulted in improvement in ratio

- Declined due to an increase in working capital, which led to higher capital employed without corresponding growth in revenue

Details of any change in Return on Net Worth as compared to the immediately previous financial year along with a detailed explanation thereof:

Particulars	2024-25	2023-24
Return on Net worth*	22.43%	10.01%

* Increase in profit has resulted in improvement in the ratio

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Source: Annual Report FY25

The improvement was not driven by a fresh exceptional gain. FY24 had included a Rs. 1.87 crore profit from disposal of the company's stake in associate Formex Private Limited, partly offset by Rs. 0.53 crore of voluntary retirement scheme (VRS) compensation, leaving a net exceptional gain of Rs. 1.34 crore. FY25 had no corresponding exceptional item. Other income also declined from Rs. 1.26 crore to Rs. 0.87 crore.

So the FY25 improvement in reported margins came despite lower other income and without the previous year's exceptional gain. That is one of the stronger parts of the FY25 financial picture. The next question is how much capital had to be employed to produce it.

Working Capital Discomfort

The company's ratios themselves flag the issue. Net capital turnover fell sharply from 14.42 times to 8.62 times. Management explains the decline as the result of higher working capital without corresponding growth in revenue.

That line deserves more attention than the improvement in headline margins. The current ratio improved from 1.19 to 1.32, while inventory turnover moved from 2.81 times to 2.99 times. Trade-receivables turnover was slightly weaker at 7.51 times versus 7.76 times.

The balance sheet therefore shows a business with improved profitability, but also more money getting absorbed in day-to-day operations. Inventory and trade receivables were important enough to become Key Audit Matters in the consolidated audit. As of March 2025, group inventory was Rs. 61.52 crore and trade receivables were at Rs. 30.50 crore.

A Key Audit Matter is not a qualification by itself. It means the auditor considered the area significant enough to require particular audit attention.

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There is, however, another inventory observation worth reading. During physical verification, the auditor noted aggregate discrepancies of 10% or more in work-in-progress and finished goods compared with book records.

Management explained that the differences came from variance between standard weight (used in the books for consumption and material movement) and the actual weight at each stage of production.

The auditor stated that the difference had been properly dealt with in the books. Again, this is not the same as saying inventory was misstated at year-end.

But for a manufacturing company where inventory is already a Key Audit Matter and working capital has risen, it is a disclosure investors should continue to track rather than ignore.

If margins continue to improve but working capital keeps consuming more cash, the quality of growth will become as important as the growth itself.

Debt: Improving, Not Disappearing

Leverage ratios moved in the right direction during FY25. Debt-equity declined from 1.33 times to 1.07 times. Debt-service coverage improved from 1.35 times to 1.80 times. This means the company's ability to pay interest and loan repayments improved, with Rs. 1.80 available for every Rs. 1 of debt obligation, up from Rs. 1.35.

On a consolidated basis, total borrowings bearing fixed or variable interest stood at Rs. 46.92 crore as c March 2025, compared with Rs. 47.84 crore a year earlier. Of this, Rs. 30.23 crore carried variable interest and Rs. 16.69 crore carried fixed interest.

A 50-basis-point movement in relevant interest rates was estimated to affect profit before tax by around Rs. 0.15 crore.

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Source: Annual Report FY25

The group's own capital-management disclosure puts net debt at Rs. 50.63 crore against equity attributable to shareholders of Rs. 43.98 crore. Its gearing ratio improved from 0.59 to 0.54, meaning the company became slightly less dependent on debt.

Consider this for a better understanding: Debt-equity ratio = Total Debt ÷ Shareholders' Equity; Gearing ratio = Debt ÷ (Debt + Shareholders' Equity).



Source: Annual Report FY25

A large portion of operating assets also supports these borrowings. At March 2025, assets pledged as security included Rs. 41.87 crore of property, plant, and equipment, Rs. 29.16 crore of trade receivables

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and Rs. 56.40 crore of inventories. That is asset security for lenders. It should not be confused with promoter share pledging.

The current borrowings were Rs. 29.10 crore, of which Rs. 25.74 crore represented working-capital loans and Rs. 3.36 crore represented current maturities of long-term borrowings.



Source: Annual Report FY25

The working-capital loans carried interest of 11% to 11.65% and were backed by company assets, inventories, and book debts. They were also supported by the personal guarantee of the chairman and managing director.

So the leverage trend is better, but Simmonds Marshall is not operating with a debt-light balance sheet. That becomes more interesting once related parties are added to the picture.

The RPT Structure

Related-party transactions, or RPTs, are not automatically a governance problem. But where related parties provide funding, property, and security to a listed company, investors should understand the size and structure of those arrangements.

Simmonds Marshall had Rs. 8.59 crore of outstanding borrowings from members of the

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promoter family as of March 2025. This comprised Rs. 3.40 crore from S.J. Marshall and Rs. 5.19 crore from N.S. Marshall. Interest payable to them stood at Rs. 1.31 crore and Rs. 1.78 crore, respectively.

The related-party borrowing carried an 8% interest rate according to the borrowing disclosure.

The property structure is more material. The company has taken land and building on a 29-year lease from a related party. The closing lease liability stood at Rs. 36.06 crore in March 2025, of which Rs. 35.69 crore was non-current. The related party is J.N. Marshall & Co. Engineering Department.



Source: Annual Report FY25

Another Rs. 3.82 crore bank term loan disclosed for FY25 is secured partly by certain company assets and additionally by an exclusive charge over immovable fixed assets held by J.N. Marshall & Co. Engineering Department, the related party.

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Source: Annual Report FY25

The auditor separately states that Simmonds Marshall itself does not hold immovable properties in its own name.



Source: Annual Report FY25

This does not establish wrongdoing. But the structure means that financing and operating infrastructure cannot be analysed only by reading bank borrowings. Family funding, a long-duration related-party property lease, and related-party property used as security all form part of the wider capital structure.

There is also a 99%-profit-share partnership subsidiary called Stud India. The carrying value of Simmonds Marshall's investment was Rs. 3.59 crore

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as of March 2025.



Source: Annual Report FY25

Transactions with Stud India during FY25 included Rs.0.15 cr of sales and Rs. 1.07 crore of purchases, while Simmonds Marshall recognised Rs. 0.08 crore as its share of profit.

The EV Equation

For many auto ancillary companies, the EV debate can be answered product by product. Some components disappear with the ICE, or internal-combustion engine. Some survive almost unchanged. Others gain content because an EV needs more electronics, thermal management, or specialised systems.

Management does acknowledge the transition. Its FY26 "way forward" says it intends to align its strategy with industry shifts such as the EV transition, along with infrastructure-led growth.

The same disclosure speaks about technological advancements, capacity expansion, clean energy, waste reduction, and environmentally-friendly product innovation.

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Source: Annual Report FY25

But there is no disclosed EV revenue. There is no disclosed EV order book. There is no disclosed customer programme linked specifically to electric vehicles. There is no quantified content per EV.

There is also no split showing how much current revenue comes from products linked to passenger vehicles, commercial vehicles, industrial applications, or other end markets.

That means describing any individual Simmonds Marshall product as an EV beneficiary, EV-neutral product, or EV-risk product would require assumptions beyond the company's disclosures. The most that can be said from the material is that management sees EV adoption as an industry shift relevant enough to influence its strategy. That is intention, not yet quantified business exposure.

The technology spending also needs context. Durin FY25, the company said it made design modifications, improved tool design and upgraded machines. It said these efforts simplified manufacturing, reduced tooling costs, and improve production.

No imported technology was reported for the previous three years. Formal R&D expenditure was Rs. 0.23 crore, up from Rs. 0.20 crore.

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Source: Annual Report FY25

Against revenue of more than Rs. 200 crore, that is a small formal R&D number. That does not by itself prove weak technology capability because process improvements may occur outside the R&D expense line.

But investors looking for evidence of a major EV-led product transition currently have more management language than measurable revenue evidence. That is the core transition question.

Stable Ownership, Missing Institutions

Promoter holding has gradually increased over the past decade. It stood at 56.50% in March 2017, moved to 59.12% by March 2023, reached 59.57% by March 2024, and remained there through March 2026. By June 2026, it had increased marginally to 59.70%.

In March 2025, Narvoze S. Marshall alone held 42.15%, while Kayan J. Pandole held 7.80%, Kamal I. Panju 7.47%, Jiji Marshall Trading Co LLP 1.75% and Diamtools Pvt Ltd 0.40%.

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Source: Annual Report FY25

Foreign institutional ownership tells the opposite story. The FII ownership was 1.96% in March 2017 and 2.52% in March 2018. It had fallen to zero by March 2022 and remained at zero through the latest periods shown. Public shareholders owned 40.29% in June 2026 and the number of shareholders was 4,342.

So, despite promoter ownership rising moderately, the shareholder base has not expanded dramatically.

There is one small compliance item investors may also notice. BSE imposed a penalty of only Rs. 2,000 in FY24 for non-submission of the annual report within the prescribed period under Regulation 34 of SEBI's listing regulations.

The amount is immaterial. It is better viewed as a compliance lapse than as a financial risk on the evidence provided.

Dividend & Earnings

EPS tells us how much profit belongs to each share. DPS tells us how much of that profit actually came back to shareholders in the form of dividend. Simmonds Marshall's EPS history has been anything but steady.

Adjusted EPS was Rs. 8.94 in FY18 and Rs. 5.23 in FY19. It then slipped to a loss of Rs. 6.93 per share in

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FY20 and reached a loss of Rs. 15.96 in FY21. Losses continued through FY22 and FY23.

The recovery came only in the last two years. EPS turned positive at Rs. 2.91 in FY24 and then increased to Rs. 8 in FY25.

The FY24 number needs some context. As discussed earlier, that year included a net exceptional gain. So FY25 is a cleaner indication of the earnings recovery than FY24.

The dividend history has moved in the opposite direction. Simmonds Marshall regularly paid dividends until FY19. Adjusted DPS was Rs. 0.50 in FY19 and had generally ranged between Rs. 0.40 and Rs. 0.70 during much of the previous decade.

Then dividends stopped. There has been no dividend from FY20 through FY25, including after the company returned to profit.

Simmonds Marshall Ltd - DPS & EPS

Description	FY25	FY24	FY23	FY22	FY21	FY
Adjusted EPS (Rs)	8.00	2.91	-2.42	-4.29	-15.96	-6.
Adj DPS (Rs)	-	-	-	-	-	
Dividend Pay Out Ratio (%)	-	-	-	-	-	

Finally, the Financials

Financial analysis is essential to fundamental analysis because it shows whether a company's business growth is actually translating into profits, cash flows, returns and balance-sheet strength.

Sales recovered. Profit took much longer. The incom statement shows two different journeys.

The historical dataset reports gross sales of Rs. 102.46 crore in FY12, rising to Rs. 194.69 crore by FY19. Sales then fell to Rs. 151.56 crore in FY20 and Rs. 134.15 crore in FY21.

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Recovery followed gradually. Gross sales increased to Rs. 157.34 crore in FY22, Rs. 185.88 crore in FY23, Rs. 192.04 crore in FY24 and finally Rs. 207.60 crore in FY25, the highest figure in the dataset.

Profit has been considerably more volatile than sales. PAT was Rs. 10.06 crore in FY18 and Rs. 5.77 crore in FY19. It then fell to a Rs. 7.71 crore loss in FY20, followed by a much larger Rs. 17.90 crore loss in FY21.

Losses continued in FY22 and FY23. By FY23, gross sales were already back to Rs. 185.88 crore, close to the earlier peak. Yet the company still reported a Rs. 2.75 crore loss.

That changed in FY24 and FY25. PAT moved to Rs. 3.18 crore in FY24 and then nearly tripled to Rs. 8.96 crore in FY25.

Simmonds Marshall Ltd - Income Statement

Amounts in INR Crores

Description	FY25	FY24	FY23	FY22	FY21
Gross Sales	207.60	192.04	185.88	157.34	134.15
Total Income	208.39	193.23	187.64	158.26	134.74
Total Expenditure	182.96	174.64	174.38	147.03	137.59
Gross Profit	125.95	108.62	107.63	96.08	76.02
PAT	8.96	3.18	-2.75	-4.88	-17.90
Cash Profit	16.64	10.49	4.18	2.45	-11.27

The sources-of-funds table shows how much damage the loss cycle did to the balance sheet. Net worth had reached Rs. 67.54 crore in FY19. It then declined for four consecutive years, falling to Rs. 58.27 crore in FY20, Rs. 40.09 crore in FY21, and eventually Rs. 32.53 crore in FY23.

The direction has now reversed. Net worth recovere to Rs. 35.90 crore in FY24 and Rs. 43.98 crore in FY25 an increase of about 23% in one year.

There has been no meaningful increase in paid-up equity during this period. Equity capital has

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remained at Rs. 2.24 crore since FY10. That means the recent rebuilding of net worth has primarily come through reserves rather than fresh equity dilution.

Reserves and surplus increased from Rs. 30.29 crore in FY23 to Rs. 33.66 crore in FY24 and Rs. 41.74 crore in FY25.

Simmonds Marshall Ltd - Sources of Funds

Amounts in INR Crores

Description	FY25	FY24	FY23	FY22	FY21	FY
Equity Paid Up	2.24	2.24	2.24	2.24	2.24	2
Reserves and Surplus	41.74	33.66	30.29	32.60	37.85	56
Net Worth	43.98	35.90	32.53	34.84	40.09	58
Total Debt	46.92	47.84	47.31	51.87	54.06	47
Capital Employed	90.89	83.74	79.84	86.71	94.15	105

Gross block stood at Rs. 44.17 crore in FY20. One year later, it had increased to Rs. 105.87 crore. That is a more than 2x jump in a single year. After FY21, the pace of asset addition became much slower. Gross block increased from Rs. 105.87 crore in FY21 to Rs. 106.78 crore in FY23, Rs. 109.08 crore in FY24, and Rs. 123.14 crore in FY25.

There is another important trend lower down the table. Cash and bank balances have fallen substantially from their earlier levels.

They stood at Rs. 5.95 crore in FY15 and Rs. 5.75 crore in FY16. By FY23, cash and bank balance was only Rs 0.32 crore, and it remained at just Rs. 0.15 crore in FY24 and FY25.

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Simmonds Marshall Ltd - Application of Funds

Amounts in INR Crores

Description	FY25	FY24	FY23	FY22	FY21
Gross Block	123.14	109.08	106.78	106.23	105.87
Investments	0.01	0.01	0.28	0.24	0.16
Cash and Bank balance	0.15	0.15	0.32	0.34	0.58
Net Current Assets	23.91	13.98	10.74	11.47	11.81
Total Current Liabilities	82.51	78.38	89.75	91.75	97.98
Total Assets	183.17	169.68	175.32	184.41	196.75

Simmonds Marshall generated positive cash flow from operations through most of the years in which it was reporting accounting losses.

Simmonds Marshall Ltd - Cash flow from operations

Amounts in INR Crores

Description	FY25	FY24	FY23	FY22	FY21	FY2
Cash Flow from Operations	16.40	16.98	13.34	14.10	7.14	14.2

RoCE was 20.17% in FY18 before falling to 11.73% in FY19. It turned negative in FY20 and FY21, recovered to 4.32% in FY22 and 7.59% in FY23, and then moved to 15.14% in FY24, and 20.33% in FY25. So FY25 has brought the company broadly back to the return levels seen before the loss cycle.

The stock market has also repriced the recovery. The dataset puts market capitalisation at Rs. 43.28 crore in FY23, Rs. 77.20 crore in FY24, and Rs.120.29 crore in FY25. That is almost a 3x increase from FY23.

Also, the adjusted P/E declined from 23.66 times in FY24 to 13.43 times in FY25 despite the rise in market capitalisation. That number should not by itself be read as cheap or expensive. It simply shows that earnings grew faster than the market value during FY25.

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Simmonds Marshall Ltd - Key Data Points

Description	FY25	FY24	FY23	FY22	FY21
ROCE (%)	20.33	15.14	7.59	4.32	-9.49
Market Capitalization (INR Cr)	120.29	77.20	43.28	42.39	33.82
Equity Dividend (%)	-	-	-	-	-
Dividend Yield (%)	-	-	-	-	-
Adjusted PE (x)	13.43	23.66	-	-	-

Simmonds Marshall Ltd - Stock Performance

Amounts in INR, unless stated otherwise

Date	Open	High	Low	Close
August 19, 2026	207.00	207.00	192.45	193.95
January 3, 2000	1.88	1.90	1.88	1.90

Verdict: Established, Still Unproven

Simmonds Marshall is neither an untested newcomer nor a business whose future can be judged only by its age. It has a manufacturing history, improving profitability and a promoter group that continues to own nearly 60%. It also has unresolved questions around working capital, related-party structures and the exact shape of its automotive and EV exposure. That makes the next few years less a survival test than an evidence test.

The business already has history. What investors now need is visibility into what the next chapter is actually built on.

Methodology

For the purposes of this series, we use only publicly available information. What the companies have said in their annual reports for the last many years, management calls, or investors meetings. We comb through their annual reports to figure out whether the company faces an existential threat and whether it is ready to admit it or not.

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How do you usually track your market trades?

Answer required

- Glued to charts during market hours
- Checking prices between office meetings
- Looking for a 15-min daily routine

If it has admitted to a threat, what does it plan to do? Let's say a company has admitted that it had a threat. Has it taken any steps in the last three years to change its business model? Have such steps had any impact on the working of the company?

Will also look at their financial performance over the last 10 years. A company whose overall sales have not even grown at the rate of inflation is not worth keeping in your portfolio. We read between the lines of annual reports to figure out what lies ahead for the business and the company's earnings. Ultimately, it is earnings which matter for and on the street.

Stock Reports Plus, powered by Refinitiv, is a comprehensive research report that undertakes an in-depth quantitative analysis to generate standardised scores for each of the five key components. A simple average of these scores is then normally distributed to reach an average score. Each stock is ranked on a scale of 1 to 10. A score of 8 to 10 is considered positive, 4 to 7 is neutral, and 1 to 3 is considered a negative outlook.

In addition to these scores, the report also contains trend analysis, peer analysis and mean analysts' recommendations to help an investor make better & informed investment decisions.

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